BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

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In the Matter of

Consolidated Edison Company Of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

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Prepared Testimony of:
Staff Depreciation Panel

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Q. Would the members of the Staff Depreciation Panel, referred to as the Panel, please state your names, employer, and business addresses?

A. Our names are Mingdi Huang, Alexander Yodashkin, and Joban Preet. We are employed by the New York State Department of Public Service (Department). Mr. Huang's business address is Three Empire State Plaza, Albany, New York 12223-1350. Mr. Yodashkin's and Mr. Preet's business address is 90 Church Street, 4th Floor, New York, New York 10007.

Q. Mr. Huang, what is your position in the Department?

A. I am employed as a Utility Engineering Specialist 2 in the Downstate Rates and Tariffs section of the Office of Rates and Tariffs.

Q. Mr. Huang, please state your educational background and professional experience.

A. I graduated from Cornell University in 2010 with a Bachelor of Science degree in Mechanical Engineering. I then attended Rensselaer Polytechnic Institute and graduated in 2015 with a Doctor of Philosophy in Mechanical Engineering. I joined the Department in

February 2019 as a Utility Engineering Specialist 1. My duties at the Department involve engaging in engineering analysis of utility operations as they relate to the ratemaking process, as well as reviewing the activities of gas local distribution companies. I obtained the Utility Engineering Specialist 2 title in April 2024, and since then have supervised other engineers in my section and provided guidance regarding their duties in the Department.

Q. Mr. Huang, have you previously testified before the New York State Public Service Commission (Commission)?

A. Yes. I have testified in numerous rate proceedings before the Commission. I have testified on depreciation in Cases 19-G-0309 and 19-G-0310, regarding The Brooklyn Union Gas Company d/b/a National Grid NY and the KeySpan Gas East Corp. d/b/a National Grid; rate design in Cases 19-G-0379 and 19-G-0381, regarding New York State Electric & Gas Corporation and Rochester Gas and Electric Corporation; depreciation and electric net plant in Cases 21-

G-0073 and 21-E-0074, regarding Orange and Rockland Utilities, Inc.; net plant and depreciation in Cases 22-E-0064 and 22-G-0065 as well as municipal interference in Case 22-S-0659, regarding Consolidated Edison Company of New York, Inc. (Con Edison or the Company); net plant and depreciation in Case 23-W-0111, regarding Veolia Water New York, Inc.; and gas capital expenditures, net plant, and depreciation in Cases 23-E-0418 and 23-G-0419 and Cases 24-E-0461 and 24-G-0462, regarding Central Hudson Gas & Electric Corporation.

Q. Mr. Yodashkin, have you discussed your credentials in any other testimony submitted in these proceedings?

A. Yes, my credentials are provided in the testimony of the Staff Rates Panel.

Q. Mr. Preet, have you discussed your credentials in any other testimony submitted in these proceedings?

A. Yes, my credentials are provided in the testimony of the Staff Shared Services Panel.

Overview

Q. What is the purpose of the Panel's testimony in

these proceedings?

A. The Panel's testimony will: (1) provide a summary of recommended changes to the Company's proposed depreciation expense levels for the Rate Year, or the 12-months ending December 31, 2026; (2) review basic depreciation terms and concepts and their role in the Panel's testimony; (3) address the Company's proposal to recover assets related to its leak prone pipe (LPP) when its replacement program is expected to be completed in 2040; (4) present recommendations for average service lives (ASLs), survivor curves, and net salvage factors for accounts listed in the depreciation study that differ from what the Company has proposed; (5) provide recommendations for the treatment of the calculated electric, gas, and common book to theoretical reserve deficiencies; and (6) present the Panel's electric and gas net plant numbers, taking into account Staff's adjustments to capital projects and the depreciation rates recommended by the Panel.

Q. In this testimony, will the Panel refer to, or otherwise rely on, information produced during

the discovery phase of these proceedings?

A. Yes, the Panel relies on Company responses to information requests that we used to develop our recommendations. These responses are included in Exhibit___(SDP-1).

Q. Is the Panel sponsoring any other exhibits?

A. Yes. Exhibit___(SDP-2) contains an overview of the present, Company proposed, and Panel recommended ASLs, survivor curves, net salvage factors, depreciation rates, accruals, and theoretical reserves for the electric, gas, and common accounts. Exhibit___(SDP-3) contains a list of current, Company proposed, and Panel recommended survivor curves for the electric, gas, and common accounts. Exhibit___(SDP-4) contains the current, Company proposed, and Panel recommended net salvage factors for the electric, gas, and common accounts. Exhibit___(SDP-5) contains graphical plots of the Company's proposed survivor curves, as well as and the Panel's recommended survivor curves for accounts in which we recommend different survivor curves. Exhibit___(SDP-6) will present the Panel's electric and gas net plant numbers

after having considered the Panel's recommended depreciation rates and the adjustments to capital expenditures recommended by other Department Panels.

Q. Did Con Edison provide a depreciation study in these proceedings?

A. Yes. As stated on page 11 of the Company's initial testimony of the Depreciation Panel, the Company's depreciation consultant prepared a depreciation study for its electric, gas, and common accounts with plant balances as of December 31, 2023. This depreciation study was filed as Exhibit___(DP-1).

Q. Please briefly summarize the Panel's recommendations regarding depreciation expense associated with electric plant.

A. Based on our review of the depreciation study provided by Con Edison and the depreciation factors we used for electric plant, we recommend a reduction to the Company's proposed increase in depreciation expense included in the Rate Year forecast for electric plant by $82.9 million, from $1.328 billion to $1.245 billion. We further recommend that the Company recover

$54.553 million per year in relation to its existing electric plant reserve deficiency, a reduction of approximately $17.398 million from the Company's proposal. We agree with the Company's proposal to continue its recovery of $3.837 million per year for the stranded costs associated with the Hudson Avenue Station. For depreciation expense for electric plant, reserve deficiency, and the Hudson Avenue Station, collectively, we recommend a decrease of approximately $0.100 billion from the Company's proposed electric depreciation expense of $1.404 billion for the Rate Year.

Q. Could you please compare the Panel's recommended level of electric depreciation expense in the Rate Year to the level currently included in base rates?

A. Including our recommended book to theoretical reserve deficiency recovery and the Hudson Avenue Station amortization recovery, our recommended electric depreciation expense would be a decrease of approximately 4.4 percent, from $1.363 billion to $1.304 billion.

Q. Please briefly summarize the Panel's

recommendations regarding the depreciation expense associated with gas plant.

A. Based on our review of the depreciation study provided by Con Edison and our recommended depreciation factors for the gas plant, we recommend a reduction to the Company's proposed increase in depreciation expense included in the Rate Year forecast for gas plant by $53.45 million, from $475.25 million to $421.80 million. We further recommend that the Company recover approximately $22.09 million per year due to its existing gas plant reserve deficiency, a reduction of approximately $3.46 million from the Company's proposal. For depreciation expense for gas plant and reserve deficiency, collectively, we recommend a decrease of $56.9 million from the Company's proposed gas depreciation expense of $574.7 million for the Rate Year.

Q. Could you please compare the Panel's recommended level of gas depreciation expense in the Rate Year increase to the level currently included in base rates?

A. Including our recommended book to theoretical

reserve deficiency recover, our recommended gas depreciation expense would be an increase by approximately 24.3 percent, or from $361.7 million to $449.5 million.

Q. Please briefly summarize the Panel's recommendations regarding depreciation expense associated with common plant.

A. Based on our review of the depreciation study provided by Con Edison and the Panel's review of the common plant accounts, we are recommending no adjustments to the Company's proposal regarding the depreciation factors of the common accounts.

Q. Are the electric and gas depreciation expense totals, as recommended by the Panel, inclusive of Staff's recommended changes to Rate Year plant-in-service balances and allocation of common plant?

A. No. We developed our common plant-in-service balances using our recommended depreciation rates in the plant in service model, along with Staff's recommended Rate Year levels of capital spending as discussed in the testimonies of the Staff Shared Services Panel, Staff Electric

Resilience and Reliability Performance Mechanism Panel, Staff Electric Infrastructure and Operations Panel, Staff Gas Infrastructure and Operations Panel, Staff Gas Reliability and Supply Panel, Staff Utility Security Panel, Staff Municipal Interference and Support Panel, Staff Markets and Innovation Panel, Staff Management and Operations Audit Panel, Staff Consumer Services Panel, and Staff Witness Andrew Carpenter. Consistent with the Company, the Panel has allocated the common plant depreciation expense as 83 percent to electric and 17 percent to gas, for an electric common allocation of $333.2 million and a gas common allocation of $68.2 million, resulting in depreciation expense totals of $1.578 billion for electric and $490.0 million for gas.

Q. Can you please explain the terms “net salvage” and “depreciation” as used in ratemaking?

A. Net salvage is any cash received for an asset, less the cost to remove it. Depreciation is a method of recovering capital costs, less net salvage, related to plant in service over the expected life of the plant.

Q. Please define “average service life”.
A. ASL is the arithmetic average of the lives of the units of property, represented by the area under the survivor curve from age zero to the maximum life, divided by 100 percent.
Q. What is a “survivor curve”?
A. A survivor curve is a graphical indication of the percentage of original plant, by age, that is still in service. Known curves, such as Iowa or h-curves, are fit to the observed curve to help determine an appropriate ASL. These known curves include a mode, which describes the relative height of the curve. Low-mode curves have wide retirement patterns. That is, the assets retire over a wide range of lives, and fewer retirements occur near the average service life. Curves with higher modes have much narrower retirement patterns, with more retirements occurring near the ASL. The area under the survivor curve is the ASL, or whole life. The observed curves are generated from a mortality study that examines the actual retirement patterns over multiple years.
Q. What is a “depreciation rate”?

A. A depreciation rate is a percentage rate that is applied to the value of gross plant in service, by account, to determine the annual depreciation expense.

Q. What is "depreciation expense"?

A. Depreciation expense in any given year is the product of gross plant in service, multiplied by the applicable depreciation rate. Depreciation expense allows for the recovery of an investment, less net salvage, over the expected life of the investment.

Q. What is "net salvage factor"?

A. Net salvage factor refers to the component of the depreciation rate that allows recovery of the estimated net salvage. It is expressed as a percentage based on the original cost of plant. For example, let us assume that a unit of property has a total installed cost of $1,000, an estimated future salvage of $0, and estimated costs of removal of $500. The net salvage factor is calculated as follows: Rate = ($0 + (-$500)) / $1,000. This equates to a negative 0.50, or negative 50 percent net salvage factor.

Q. Please define "book reserve".

A. The book reserve is the continued accumulation of the annual depreciation expense accruals, less any retirements and cost of removal, plus any salvage received. The book reserve is calculated by plant account and subtracted from the gross plant, which is the original cost of the plant, to calculate the net plant. Net Plant is the remaining plant balance that is not yet depreciated.

Q. Please define "theoretical reserve".

A. The theoretical reserve is the amount of depreciation expense that should have been collected as of a particular date, given the survivor curves, ASLs, and net salvage factors used to determine the proposed depreciation rates.

Q. How are depreciation rates calculated?

A. Depreciation rates are calculated differently depending on the depreciation system used. Each system is composed of a method, a procedure, and a technique.

Q. What depreciation system did Con Edison use for its plant accounts?

A. As stated on page 16 of the initial testimony of

the Depreciation Panel, the Company used the straight-line method, broad group average service life procedure, and whole life technique for most of the depreciable accounts. Additionally, as stated on page III-24 of the depreciation study, provided in Exhibit___ (DP-1), the Company also uses the life span method for the electric plant generation and the liquefied natural gas storage plant accounts. Each of the electric plant generation and liquefied natural gas storage accounts have common projected retirement dates.

Q. What is the difference between the straight-line method and the life span method?

A. The straight-line method recovers the original cost of an asset equally over its estimated useful life. In other words, the amount recovered annually through depreciation would not change over the life of the asset. For the life span method, as stated in the Company's response to DPS-785, the overall life associated with the survivor curve used is truncated at the point of retirement. Thus, the recovery of the assets is aligned with the estimated retirement

date, producing a higher depreciation rate and expense than if it were aligned with the overall life suggested by the survivor curve. The life span method is sometimes used to depreciate large assets that do not fit the mortality characteristics of mass property accounts, such as poles.

Q. What is the broad group average service life procedure?

A. In the broad group average service life procedure, all assets belonging to a given plant account are considered as a single group regardless of installation date; the depreciation rate is based on a single average life of the group and applied to the remaining unrecovered balance. This means that the cost of plant retired prior to the average life is not fully recovered at the time of retirement, while the cost of plant retired after the average life is more than fully recovered. The costs not recovered before the average life for certain assets in the group will be balanced by the costs recovered after the average life for other assets in the group.

Q. Please explain how the depreciation rate is calculated following the whole life technique.

A. Under the whole life technique, the depreciation rate is calculated using the following formula: Rate = (1-Net Salvage)/(ASL). For example, if the ASL for a plant account was 50 years and the net salvage factor was negative 50 percent, then the depreciation rate would be: R = (1-(-0.5)) / 50. In such a case, the depreciation rate would equal 0.03, or 3.0 percent. The rate is then multiplied by the gross plant to obtain the depreciation expense for ratemaking purposes. The next step in the ratemaking process is to compute composite depreciation rates, which are weighted average depreciation rates based on gross plant in service as of a specific date. In these proceedings, both the Company and Staff Depreciation Panels used the plant balances as of December 31, 2023. These composite depreciation rates were then taken into account alongside the capital spending adjustments recommended in the testimonies of the Staff Shared Services Panel, Staff Electric Resilience and Reliability Performance Mechanism Panel,

Staff Electric Infrastructure and Operations Panel, Staff Gas Infrastructure and Operations Panel, Staff Gas Reliability and Supply Panel, Staff Utility Security Panel, Staff Municipal Interference and Support Panel, Staff Markets and Innovation Panel, Staff Management and Operations Audit Panel, Staff Consumer Services Panel, and Staff Witness Andrew Carpenter to calculate the Rate Year depreciation expense and accumulated reserve adjustments. These adjustments were provided to the Staff Accounting Panel for inclusion in Staff's recommended revenue requirements in these proceedings.

Q. Did the information in the depreciation study provided by the Company lead the Panel to recommend depreciation rates different than those currently in effect and/or those proposed by Con Edison?

A. Yes. After analyzing the data found in the depreciation study, we recommend several changes from both existing and Company proposed rates.

Survivor Curves and Average Service Lives

Q. How did the Panel arrive at its recommended ASLs

and survivor curves for the electric plant accounts?

A. We reviewed the mortality data provided in the Company's depreciation study, as well as the original and smooth survivor curves provided by the Company in its filings. The Company did not supply rolling and shrinking bands or fit indices for its selected Iowa-curves as part of its depreciation study, which we would normally review in addition to visual fitting. The rolling and shrinking bands provide more information regarding trends in service lives, and the fit indices provide statistical information regarding how well the selected smooth survivor curve fits the mortality data. In several instances, a different smooth survivor curve than fit the actual historic data points better than what was proposed by the Company. In other words, the curve hugged the data much tighter than the Company's proposed curves. In these cases, we are recommending different ASLs and Iowa-curve modes from what the Company proposed.

Q. Does the Panel agree with any ASLs proposed by

the Company?

A. Yes. The Panel agrees with the majority of the ASLs and curve shapes proposed by the Company's Depreciation Panel. Exhibit___(SDP-3), page 1, contains a comparison, by account, among the present, Company proposed, and Panel recommended ASLs and survivor curves for the depreciable electric plant accounts. In addition, a comparison of the curves for the accounts where there is a difference between the electric survivor curves proposed by the Company and the electric survivor curves recommended by the Panel can be found in Exhibit___(SDP-5).

Q. What adjustments does the Panel recommend to the survivor curves and ASLs for the electric accounts?

A. We reviewed all electric depreciable plant accounts associated with the 31 electric survivor curves provided in the Company's depreciation study. We recommend different ASLs from what the Company proposed for two accounts. The two accounts, both in distribution, are 361.00 – Structures and Improvements and 367.00 – Underground Conductors and Devices. The Panel

recommends increasing the ASL for 361.00 – Structures and Improvements by five years, to an ASL of 60, and increasing the ASL for 367.00 – Underground Conductors and Devices by ten years, to an ASL of 65, while keeping the associated survivor curves the same.

Q. Did the Panel use the same process in its review of the depreciable gas plant accounts as it did for the electric accounts?

A. Yes. The Panel reviewed all depreciable gas accounts associated with the 20 survivor curves provided in the Company's depreciation study.

Q. Does the Panel agree with any ASLs and survivor curves that the Company proposes to use for its gas accounts in its Rate Year revenue requirement?

A. Yes. With the exception of seven transmission and distribution accounts, the Panel agrees with the Company's proposed survivor curves and ASLs used for its gas accounts. Page 2 of Exhibit___(SDP-3) compares the currently approved, the Company's proposed, and the Panel's recommended ASLs and survivor curves for each depreciable gas plant account.

Q. Could the Panel describe its recommended adjustments to the accounts where it disagrees with the Company's proposals in more detail?

A. We recommend different survivor curves and ASLs for seven of the Company's accounts. These are the seven accounts that the Company has proposed reducing the ASL by five years due to the impacts of the Climate Leadership and Community Protection Act. The accounts are 367.10 – Mains – All Other, 369.00 – Measuring and Regulating Station Equipment; 376.12 – Mains – All Other; 381.00 – Meters – Purchases, 382.00 – Meters – Installation; 383.00 – House Regulators – Purchases; and 384.00 – House Regulators – Installations. The Panel recommends keeping the ASL for these seven accounts at their currently approved level.

Q. Does the Panel agree with the Company's reasoning for reducing the ASLs of certain longer lived gas assets in consideration of the potential impacts related to the Climate Leadership and Community Protection Act?

A. No. In the Commission's Order Adopting Gas System Planning Process, issued on May 12, 2022,

in Cases 20-G-0131, et al., the Commission directed the State's gas local distribution companies including Con Edison, to file depreciation studies with certain scenarios. The depreciation studies include a scenario that depreciates all existing gas plant by 2050 and another scenario that fully depreciates all new gas plant installed beginning in 2022 by 2050, with the goal of examining the structure of accelerated depreciation and its potential impact on ratepayers. For each scenario, the local distribution companies must provide revenue requirement and approximate bill impacts to residential and commercial ratepayers. The Commission explained that these studies will inform future discussions of how best to recover the costs of these assets and reduce potential stranded assets. Because the Commission is evaluating this issue in that proceeding, we do not recommend adjusting the ASLs as proposed by the Company in this gas case.

Q. What did the Company propose for its LPP recovery in the Rate Year?

A. As stated in the initial testimony of the

Depreciation Panel starting on page 34, the Company separated its gas mains and services accounts into the portions that will be recovered through the LPP replacement program and all other mains and services. The Company is proposing to recover the remaining asset and removal costs associated with the LPP accounts over the duration of the replacement program, which is scheduled to end in 2040.

Q. Does the Panel agree with the Company's LPP recovery proposal?

A. Yes. Collecting the LPP asset and removal costs during the remaining period of the replacement program ensures that the Company will collect its invested costs during the time the assets would be providing service. This approach would help avoid potential unrecovered costs or intergenerational inequities for customers that could pay for these assets, along with its return on rate base, after the replacement program has ended. The Panel recommends that the Company continue to track the LPP related assets separately from the non-LPP related assets.

Q. What is the annual amortization related to the LPP proposal?

A. As stated in the Company's response to DPS-668, the proposed annual amortization of the LPP assets is $5.657 million, which is an increase of $1.660 million over the approved annual amortization of $3.998 million approved by the Commission in Cases 22-E-0064 and 22-G-0065 in the Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements issued on July 20, 2023 (2023 Rate Order).

Q. What level of annual LPP amortization does the Panel recommend?

A. The Panel recommends an annual amortization of $5.633 million, a reduction of $24.5 thousand from the Company's proposal, based on an adjustment to the net salvage factor of one of the LPP plant accounts, which will be discussed later in our review of net salvage.

Net Salvage

Q. Please describe the information contained in the net salvage statistics section of the depreciation study provided by the Company.

A. The depreciation study includes, for each plant account and year included, a summary of regular retirements, or original cost of plant retired; cost of removal; the percent of cost of removal compared to regular retirements; gross salvage; percent of gross salvage compared to regular retirements; net salvage; and percent of net salvage compared to regular retirements. The summary of the net salvage statistics also includes the totals for these categories for a number of years, as well as a three-year moving average of the data and the most recent five-year average from 2019 through 2023.

Q. What method did the Panel use to determine the net salvage factors that it recommends?

A. Our review of the net salvage statistics employed a method very similar to that used by the Company to determine its net salvage factors. Like the Company, we reviewed the present net salvage amounts, as well as prior Commission decisions regarding net salvage factors. The Panel reviewed the salvage statistics provided by the Company's depreciation study and looked for trends in the

annual and multi-yearly averages of the historic net salvage data. For accounts with apparent trends that indicate costs of removal are increasing, and thus net salvage is becoming more negative, we recommend a more negative net salvage factor. For example, for electric account 357.00 – Underground Conduit, we recommend the Commission further reduce the current negative net salvage factor by five 5 percent. For accounts where there are no apparent trends, such as in electric account 354.00 – Towers and Fixtures, we recommend that the net salvage factor remain the same as approved in present rates.

Q. For which electric accounts did the Panel recommend a different net salvage factor than what the Company proposed?

A. We recommend a different net salvage factor than the Company for 11 electric accounts. Specifically, we recommend a net salvage factor that is 5 percent more negative than the Company's proposal for the electric accounts 357.00 – Underground Conduit; 357.20 – Underground Conduit – Manhattan and Bronx;

366.00 – Underground Conduit; and 366.10 – Underground Conduit – Manhattan and Bronx. We also recommend net salvage factor that is 5 percent less negative for electric accounts 362.00 – Station Equipment; 364.00 – Poles, Towers and Fixtures; 366.00 – Underground Conductors and Devices; 369.10 – Services – Overhead; and 369.20 – Services – Underground. Finally, we recommend a net salvage factor that is 10 percent less negative for electric accounts 354.00 – Towers and Fixtures and 373.20 – Underground Street Lightning and Signal Systems. Exhibit___(SDP-4) presents the current, the Company's proposed, and the Panel's recommended net salvage factors.

Q. For which gas accounts did the Panel recommend a different net salvage factor than what the Company proposed?

A. We recommend different net salvage factors for six gas accounts. We recommend a net salvage factor that is 5 percent more negative than the Company's proposal for gas account 381.00 – Meters – Purchases. We recommend a net salvage factor that is 5 percent less negative for gas

accounts 367.10 – Mains – All Other; 376.12 – Mains – All Other; and 376.12 - Mains – Leak Prone Pipe. Finally, we recommend a net salvage factor that is 10 percent less negative for gas accounts 368.00 – Compressor Station Equipment and 369.00 – Measuring and Regulating Station Equipment. Exhibit___(SDP-4) presents the current, the Company's proposed, and the Panel's recommended net salvage factors.

Book Reserve Deficiency

Q. What is the process of comparing the book reserve to the theoretical reserve?

A. When a depreciation study is performed, the current book reserve is compared to the proposed theoretical reserve. The proposed theoretical reserve incorporates any proposed changes to the survivor curves, ASLs, and net salvage factors. Typically, if the difference between the book reserve and the theoretical reserve is within a margin of 10 percent, above or below, no adjustment is made to amortize the over- or under-accruals. However, if the difference is greater than 10 percent, an adjustment can be made to amortize some or all of the difference

between the theoretical and book reserves. If the book reserve is larger than the theoretical reserve, some or all of the difference can be used for other ratemaking treatments, rather than a reduction to depreciation expense. The use of a 10 percent margin and the rate treatment are discretionary. An adjustment is often made because the difference is too large to be corrected on its own, going forward.

Q. What are the Company's depreciation reserve deficiencies using its proposed depreciation rates?

A. On pages 60 through 62 of its initial testimony, the Company's Depreciation Panel explains that the electric theoretical reserve based on the Company's proposed rates is approximately $11.89 billion, with an electric reserve deficiency of approximately $2.69 billion. For gas, the theoretical reserve is approximately $3.29 billion, with a gas reserve deficiency of approximately $840.03 million. Finally, for common, the theoretical reserve is approximately $1.65 billion, with the reserve deficiency being approximately $84.84 million.

Q. Is the Company currently recovering any amortizations of these book to theoretical reserve deficiencies?

A. As authorized in the 2023 Rate Order, the Company is recovering approximately $66.8 million annually for its electric deficiency and $11.3 million annually for its gas deficiency.

Q. What is the Company requesting in these proceedings for its electric and gas book to theoretical reserve deficiency recoveries?

A. The Company discusses this on pages 62 through 63 of the initial testimony of its Depreciation Panel. The Company proposes that the reserve variation above 10 percent of the theoretical reserve be recovered over a 20-year period for the electric and gas reserve deficiencies. The common reserve deficiency is less than 10 percent of the theoretical reserve, and so no deficiency amortization is proposed for common plant.

Q. Does the Panel agree with the Company's proposal for the amortization of its book to theoretical reserve deficiency?

A. Yes, we agree with the Company's proposal to

amortize the reserve deficiency above 10 percent of the theoretical reserve over a period of 20 years, with the theoretical reserve calculated with the depreciation rates ultimately approved by the Commission in these rate cases.

Q. Is the Company requesting any other amortizations?

A. Yes. As authorized in Con Edison's past three rate plans, the Order Approving Electric and Gas Rate Plans, issued January 25, 2017, in Case 16-E-0060; the Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan, issued on January 16, 2020, in Cases 19-E-0065 and 19-G-0066; and the 2023 Rate Order, the Company is recovering approximately $3.8 million annually associated with stranded costs related to the Hudson Avenue Station.

Q. Does the Panel agree with the Company's proposal to continue the recovery of the Hudson Avenue Station?

A. Yes.

Net Plant

Q. What is the net plant model?

A. The net plant model is a tool used to forecast

projected plant and depreciation reserve balances. The model the Panel used in these proceedings begins with the most recent actual gross plant as of December 31, 2024, and factors in forecasted plant additions and retirements, respectively, to forecast the gross plant on a month-to-month basis. Additionally, by using the depreciation rates recommended by this Panel, the net plant model can forecast the depreciation expense and depreciation reserve. The net plant balance is the gross plant balance minus the depreciation reserve balance.

Q. How did the Panel develop the forecast for net plant and depreciation expense?

A. we began by inputting the monthly balances of capital expenditures, plant additions, allowance for funds used during construction, construction work in progress, retirements, salvage, cost of removal, and net charges to retirement work in progress from 2025 through 2029 from the Company's net plant-related workpapers into our net plant model. We calculated the monthly plant-in-service balance by taking the previous month's balance, adding plant additions, and

subtracting retirements. We calculated the depreciation expense by multiplying the monthly plant-in-service balance by the associated depreciation rate. We calculated the accumulated depreciation reserve by taking the previous month's balance, adding the depreciation expense and salvage, and subtracting retirements and cost of removal. Finally, we calculated the monthly net plant balance by subtracting the accumulated depreciation reserve from the plant-in-service.

Q. How did the Panel develop its recommended net plant, depreciation reserve, and depreciation expense levels?

A. First, we reviewed and recreated the Company's net plant file to understand the methodology used to produce the net plant results and ensure the starting point values for the Company's model were correct. We imported the Company's values to ensure that the Panel's and the Company's models were in alignment on the net plant balance and depreciation expense; then, we input the capital expenditure adjustments described in the testimonies of and received

from the other Department Panels, which will be listed later in this testimony, to develop our forecasted plant additions. This calculation resulted in our recommended net plant, depreciation reserve, and depreciation expense levels, which can be found in Exhibit___(SDP-6).

Q. Please state the level of common net plant the Company proposes in the Rate Year.

A. For the Rate Year, the Company proposes an average common net plant level of approximately $5.297 billion, of which $4.397 billion is allocated to electric and $900.549 million is allocated to gas.

Q. What level of common net plant does the Panel recommend for the Rate Year?

A. After incorporating the common capital expenditure adjustments discussed in the testimonies of the Staff Shared Services Panel, Staff Electric Resilience and Reliability Performance Mechanism Panel, Staff Electric Infrastructure and Operations Panel, Staff Utility Security Panel, Staff Markets and Innovation Panel, Staff Consumer Services Panel, and Staff Witness Andrew Carpenter, the Panel

recommends a common net plant level for the Rate Year of approximately $5.027 billion, of which $4.172 billion is allocated to electric and $0.855 billion is allocated to gas.

Q. Please state the level of electric net plant the Company proposes in the Rate Year.

A. For the Rate Year, the Company proposes an average electric net plant level of $46.684 billion, including the allocation of common net plant to electric of $4.397 billion.

Q. Please state the level of electric net plant the Panel recommends for the Rate Year.

A. After incorporating the capital expenditure adjustments, discussed in the testimony of the Staff Electric Resilience and Reliability Performance Mechanism Panel, Staff Electric Infrastructure and Operations Panel, Staff Utility Security Panel, Staff Municipal Interference and Support Panel, Staff Markets and Innovation Panel, and Staff Witness Andrew Carpenter, and the recommended capital expenditure level of common plant, discussed in the testimonies of the Staff Shared Services Panel, Staff Electric Resilience and Reliability

Performance Mechanism Panel, Staff Electric Infrastructure and Operations Panel, Staff Utility Security Panel, Staff Markets and Innovation Panel, Staff Consumer Services Panel, and Staff Witness Andrew Carpenter, Staff's recommended electric net plant level for the Rate Year is $46.081 billion, which includes the electric allocation of common net plant of $4.172 billion. This is an overall reduction of approximately $0.602 billion from the Company's proposal. Exhibit___(SDP-6) contains a comparison of the Company's proposed and Staff's recommended net plant levels.

Q. Please state the level of electric accumulated reserve for depreciation the Company proposes in the Rate Year.

A. For the Rate Year, the Company proposes an electric accumulated reserve for depreciation of electric plant in service of $11.436 billion, as well as an accumulated reserve for depreciation of $1.374 billion for the electric allocation of the common plant in service, for a total of $12.810 billion. The accumulated reserve for depreciation is subtracted from the proposed

electric plant total of $46.684 billion to reach an overall net plant total of $33.874 billion.

Q. Please state the level of electric accumulated reserve for depreciation the Panel recommends for the Rate Year.

A. For the Rate Year, the Panel recommends an electric accumulated reserve for depreciation of electric plant in service of $11.397 billion, as well as an accumulated reserve for depreciation of $1.369 billion for the electric allocation of the common plant in service, for a total of $12.765 billion. This total is $44.3 million smaller than the total proposed by the Company. The accumulated reserve for depreciation is subtracted from the Panel's recommended electric plant total of $46.081 billion to reach an overall electric net plant total of $33.316 billion, which is an overall reduction of approximately $0.557 billion to the Company's proposal.

Q. Please state the level of gas net plant the Company proposes in the Rate Year.

A. For the Rate Year, the Company proposes an average gas net plant level of $16.332 billion,

including the gas allocation of common net plant of $900.549 million.

Q. Please state the level of gas net plant the Panel recommends for the Rate Year.

A. After incorporating the capital expenditure adjustments, discussed in the testimonies of the Staff Gas Infrastructure and Operations Panel, Staff Gas Reliability and Supply Panel, Staff Municipal Interference and Support Panel, Staff Management and Operations Audit Panel, and Staff Witness Andrew Carpenter, and the recommended capital expenditure level of common plant, discussed in the testimonies of the Staff Shared Services Panel, Staff Electric Resilience and Reliability Performance Mechanism Panel, Staff Electric Infrastructure and Operations Panel, Staff Utility Security Panel, Staff Markets and Innovation Panel, Staff Consumer Services Panel, and Staff Witness Andrew Carpenter, Staff's recommended gas net plant level for the Rate Year is $16.193 billion, which includes the gas allocation of common net plant of $0.855 billion. This is an overall reduction of approximately $0.138 billion from the Company's

proposal. Exhibit___(SDP-6) compares the Company's proposed and Staff's recommended net plant levels.

Q. Please state the level of gas accumulated reserve for depreciation the Company proposes in the Rate Year.

A. For the Rate Year, the Company proposes a gas accumulated reserve for depreciation of gas plant in service of $3.073 billion, as well as an accumulated reserve for depreciation of $0.281 billion for the gas allocation of the common plant in service, for a total of $3.354 billion. The accumulated reserve for depreciation is subtracted from the proposed gas plant total of $16.332 billion to reach an overall net plant total of $12.978 billion.

Q. Please state the level of gas accumulated reserve for depreciation the Panel recommends for the Rate Year.

A. For the Rate Year, the Panel recommends a gas accumulated reserve for depreciation of gas plant in service of $3.042 billion, as well as an accumulated reserve for depreciation of $0.280 billion for the gas allocation of the

common plant in service, for a total of $3.322 billion. This total is $32.3 million smaller than the total proposed by the Company. The accumulated reserve for depreciation is subtracted from the Panel's recommended gas plant total of $16.193 billion to reach an overall gas net plant total of $12.871 billion, which is an overall reduction of approximately $0.107 billion to the Company's proposal.

Q. Does this conclude the Panel's testimony at this time?

A. Yes.